



Market Debunk

#MARKETDEBUNK

Prasol Chemicals

IPO opens

tomorrow at



The Core

Illusion Exposed

By Math

Retail investors view unanimous 'Subscribe for Long-Term' ratings as institutional validation. In reality, brokerages often issue generic long-term tags to facilitate primary distribution at the **₹643-676 price band**, shifting cyclical raw material margin risk directly onto retail balance sheets.



How Syndicates *Dump Liquidity*

Specialty chemical issuers time public offerings precisely when input costs trough and export spreads peak. Selling shares at peak earnings inflates trailing multiples. When input prices mean-revert, retail capital absorbs a **30% to 50% margin compression** while pre-IPO investors have already liquidated.



The Hidden *Regulatory Capital* Trap

The 'long-term' narrative is designed to suppress immediate post-listing secondary sales. By convincing retail to hold through post-IPO lockup expirations, early venture and promoter entities offload massive inventory without crashing liquidity, leaving retail holding underwater equity during **cyclical downturns**.



The Compounding *Opportunity Loss*

Buying a specialty chemical company priced above a **35x P/E** during peak EBITDA cycles creates severe compounding drag. Even with 12% revenue growth, a multiple de-rating to the historical 18x median produces a net **-24% capital return** over a 3-year holding period.



The Golden *Rule: Exit* Instantly

Never subscribe to chemical IPOs solely on brokerage recommendations. Enforce this institutional rule: fresh issue capital expenditure proceeds must exceed **60% of total issue size**, and trailing valuation must sit below the **5-year peer median P/E** before bidding a single rupee.



The 3-Point

Pre-Trade Audit

Before applying at the **₹643–676 band**, verify: (1) capacity utilization exceeds 75%, (2) promoter pledge is strictly 0%, and (3) trailing operating cash flow matches at least **80% of reported net income**. If any check fails, avoid the issue entirely.



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